3 Types of Question asked

1. **KAM**
2. **Report**
3. **Report and Procedure**
4. **adequate and inadequate**

1. KAM	Latte Co Spinach Danu be AIRSOFT
2. Report	Cookit Co Pacific SAGITTARII ENCORE GOOSEBERRY DASHING ANDROMEDA PINEAPPLE BEACH HOTEL- good
3. Report and Procedure	Heron
4. adequate and inadequate	HYACINTH JASMINE
Going Concern	SPADEFISH ELOUNDA

- Opinion

Question - Discuss the issue and describe the impact on the auditor's report, if any, should this issue remain unresolved.

1. Discuss the issue
2. Impact of FS
3. Materiality Cal
4. Modify Opinion , material but not pervasive ,
5. Basis For Opinion Paragraph included after the opinion paragraph
   The opinion paragraph would be qualified 'except for Fs Gives True and Fair view

Encore Company

The breaches in regulations and the initial investigation into the breaches occurred before the year end. The announcement by the authorities that they are taking legal action provides further evidence regarding these conditions which existed at the yearend date therefore IAS 10 Events after the Reporting Period would **(if Possible try to add Standard)** classify this as an adjusting subsequent event. As it seems probable that the fine will be payable, a provision must be included rather than merely the disclosure. **~ Discussion of issue (1 M)**

Failure to make such a provision will cause profits to **be overstated** and provisions to be **understated.** **~ Impact (1 M)**

The potential fine of $850,000 (17 × $50,000) is 16% ($850k/$5.3m) of profit before income taxes and 2.1% ($850k/$40.1 m) of total assets. **~ Materiality Cal**

It is therefore material. **~ 1 M**

If the directors refuse to make a provision, then Velo & Co should issue a **modified opinion** on the grounds that there is a material misstatement of profit and liabilities.

As this is **material but not pervasive a qualified opinion** would be appropriate.**~ 1 M**

A basis for qualified opinion paragraph would be included after the opinion paragraph.

This would explain the material misstatement in relation to the non-recognition of the provision and the effect on the financial statements.

The opinion paragraph would be qualified 'except for' FS gives True and Fair View. ~ 1 M